



The Finrise **Candlestick Handbook**

34 candlestick patterns — shape, meaning & how to trade each one.

FINRISE TRADING ACADEMY · 26 JUNE 2026

Contents

START HERE • THE GROUNDWORK

- How markets actually work
- How a candlestick works
- Trends, support & resistance
- Risk management: entries & exits

SINGLE-CANDLE PATTERNS

1 ● Doji	NEUTRAL
2 ● Long-Legged Doji	NEUTRAL
3 ● Dragonfly Doji	BULLISH
4 ● Gravestone Doji	BEARISH
5 ● Hammer	BULLISH
6 ● Hanging Man	BEARISH
7 ● Inverted Hammer	BULLISH
8 ● Shooting Star	BEARISH
9 ● Bullish Marubozu	BULLISH
10 ● Bearish Marubozu	BEARISH
11 ● Spinning Top	NEUTRAL

TWO-CANDLE PATTERNS

12 ● Bullish Engulfing	BULLISH
13 ● Bearish Engulfing	BEARISH
14 ● Tweezer Bottom	BULLISH
15 ● Tweezer Top	BEARISH
16 ● Piercing Line	BULLISH
17 ● Dark Cloud Cover	BEARISH
18 ● Bullish Harami	BULLISH
19 ● Bearish Harami	BEARISH
20 ● Bullish Kicker	BULLISH

21 ● Bearish Kicker

BEARISH

THREE-CANDLE PATTERNS

22 ● Morning Star

BULLISH

23 ● Evening Star

BEARISH

24 ● Three White Soldiers

BULLISH

25 ● Three Black Crows

BEARISH

26 ● Three Inside Up

BULLISH

27 ● Three Inside Down

BEARISH

28 ● Three Outside Up

BULLISH

29 ● Three Outside Down

BEARISH

30 ● Abandoned Baby

BULLISH

CONTINUATION PATTERNS

31 ● Rising Three Methods

BULLISH

32 ● Falling Three Methods

BEARISH

33 ● Mat Hold

BULLISH

34 ● Separating Lines

BULLISH

Before the patterns: the groundwork

How markets actually work. Before candles: who moves price, and why.

How a candlestick works. Read one candle and you can read them all.

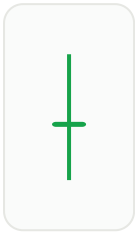
Trends, support & resistance. Context first — then the candle is your trigger.

Risk management: entries & exits. The skill that keeps you in the game — size, ladder in, and exit with a plan.

How to use this handbook. Every pattern works best *with* the trend and *at* a support or resistance level. Read the trend, wait for the pattern at a level, confirm with the next candle, and define your stop before you enter.

Single-candle patterns

One bar tells the story — exhaustion, rejection, or raw momentum.



1 Doji NEUTRAL

Indecision — buyers and sellers cancel out.

WHAT IT MEANS

A doji is a pause, not a direction. Its power comes from where it appears — after a strong run, it warns the trend is tiring.

HOW TO TRADE IT

Don't trade the doji alone. After a strong trend, wait for the next candle to close against the trend, then enter in that direction on the open of the following bar. **Stop:** Just beyond the doji's far wick (above for shorts, below for longs).

RELIABILITY & TIMEFRAME

Medium — needs a strong prior trend and a confirming close. • H4 · D1

PRO TIPS

- **Entry trigger:** Never buy or sell the doji itself — it is a question mark, not an answer. Wait for the next candle to close clearly above or below the doji's range, then enter on the open of the bar after that.
- **Stop placement:** Place the stop just beyond the doji's far wick in the direction opposite your trade — above the upper wick for shorts, below the lower wick for longs. Price closing past that extreme says the 'pause' was actually continuation.
- **Best context:** A doji only carries weight after an extended trend run — not in the middle of a choppy range. The longer the prior trend, the more a doji matters as an exhaustion flag.

**2**

Long-Legged Doji

NEUTRAL

Huge range, flat body — extreme indecision.

WHAT IT MEANS

The signal is the size of the range, not the body. It marks a volatility climax — wait for the next close to pick a side.

HOW TO TRADE IT

Treat it as a volatility climax. Wait for the next candle to pick a side, then trade the breakout of the doji's range. **Stop:** Outside the doji's extreme high/low — its range already shows full session volatility.

RELIABILITY & TIMEFRAME

Medium — strongest right at major support/resistance. • H4 • D1

PRO TIPS

- **Entry trigger:** Use the doji's full range as a breakout box: wait for the next candle to close convincingly outside the doji's high or low, then trade in that direction. Do not guess mid-range which way it resolves.
- **Stop placement:** Set the stop at the opposite extreme of the long-legged doji — if you break above the high, stop goes below the low. The doji's range already captured full session volatility, so that stop is your worst-case.
- **Best context:** This pattern is most meaningful at a major support or resistance level, or right after a news event. A long-legged doji in the middle of a quiet trend is often just noise from low liquidity.

**3**

Dragonfly Doji

BULLISH

Sellers crushed it; buyers reclaimed every tick.

WHAT IT MEANS

A dragonfly is a hammer pushed to the extreme — the entire body collapses onto the high.

HOW TO TRADE IT

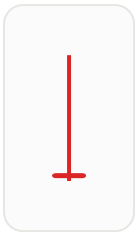
After a downtrend, buy on a bullish close above the dragonfly's high; target the prior swing high. **Stop:** A few pips below the long lower wick — the level buyers defended.

RELIABILITY & TIMEFRAME

High at support after a clean downtrend. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long once the candle after the dragonfly closes above the dragonfly's high — that is the body plus the (near-zero) upper wick. The break above confirms buyers are following through, not just trapping longs at the low.
- **Stop placement:** Put the stop a few ticks below the long lower wick — the price level buyers defended intrabar. A close below that wick means the support is broken and the entire rejection argument is void.
- **Best context:** A dragonfly doji is most powerful when its lower wick taps a known horizontal support, a round number, or a prior swing low. Without that external level, the wick is just a bounce, not a defended floor.

**4**

Gravestone Doji

BEARISH

Buyers spiked it; sellers buried it at the open.

WHAT IT MEANS

A gravestone is a shooting star pushed to the extreme — the body collapses onto the low.

HOW TO TRADE IT

After an uptrend, short on a bearish close below the gravestone's low; target the prior swing low. **Stop:** A few pips above the long upper wick — where sellers defended.

RELIABILITY & TIMEFRAME

High at resistance after an uptrend. • H4 • D1

PRO TIPS

- **Entry trigger:** Short only after the next candle closes below the gravestone's open/close level — the flat body at the bottom of the range. That bearish close is the confirmation sellers followed up after the intrabar rejection.
- **Stop placement:** Place the stop a few ticks above the tip of the long upper wick — the exact level where sellers stepped in and rejected price. A close above that wick invalidates the resistance argument entirely.
- **Best context:** A gravestone doji earns full weight when its upper wick spikes into a tested resistance zone, a prior swing high, or a round number. The same candle forming in clear air after no resistance carries far less edge.

**5**

Hammer

BULLISH

Sellers drove it down — buyers slammed it back.

WHAT IT MEANS

The long lower wick is the story: price fell hard but buyers bought every dip and closed it near the top.

HOW TO TRADE IT

After a downtrend, enter long on a close above the hammer's high (or a small pullback to its body). Target the nearest swing high; aim for at least 1:2. **Stop:** Below the hammer's low — a close under it invalidates the reversal.

RELIABILITY & TIMEFRAME

High at established support. • H4 • D1

PRO TIPS

- **Entry trigger:** Do not buy the hammer itself — wait for the next candle to close above the hammer's high, then enter. That break confirms buyers followed through and the rejection of lower prices was real.
- **Stop placement:** Put the stop just below the hammer's low — the bottom of the long lower wick. If price closes back under that level, the intrabar rejection failed and the downtrend is resuming.
- **Best context:** A hammer only matters after a clear downtrend and ideally at a known support level. In the middle of a range or in an uptrend, it is not a reversal signal — it is just a candle.

**6**

Hanging Man

BEARISH

Same shape as a hammer — but at the top.

WHAT IT MEANS

Identical to a hammer in shape — location flips the meaning. At a top, it's a bearish warning that needs confirmation.

HOW TO TRADE IT

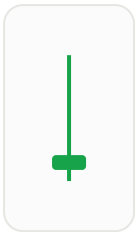
After an uptrend, short on a bearish confirmation candle closing below the hanging man's body. **Stop:** Above the hanging man's high.

RELIABILITY & TIMEFRAME

Medium — always needs confirmation. • H4 • D1

PRO TIPS

- **Entry trigger:** Never short the hanging man itself — it still closed near the top. Wait for the next candle to close bearishly below the hanging man's body, then enter short on the open of the bar after.
- **Stop placement:** Set the stop above the hanging man's high — if buyers push price above it, the downward warning is cancelled and the uptrend likely continues.
- **Best context:** The hanging man only carries a bearish meaning at the top of an established uptrend — ideally where price is pressing a prior resistance or round number for the first time in the move.

**7**

Inverted Hammer

BULLISH

Buyers tested higher after a sell-off.

WHAT IT MEANS

Same shape as a shooting star, but location flips the meaning — after a downtrend it's a bullish probe higher.

HOW TO TRADE IT

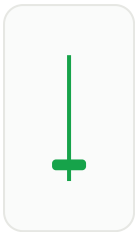
After a downtrend, wait for a green candle to close above the inverted hammer's high, then enter long. **Stop:** Below the inverted hammer's low.

RELIABILITY & TIMEFRAME

Medium — weaker than a hammer; demands confirmation. • H4 • D1

PRO TIPS

- **Entry trigger:** Wait for a green candle to close above the inverted hammer's high — that confirmation shows buyers are now also following through on the upside probe, not just testing it. Enter on the break of that confirmation candle's high.
- **Stop placement:** Place the stop below the inverted hammer's low — the small body near the bottom of the candle. A close below that low means the downtrend is still intact and the probe higher was rejected.
- **Best context:** The inverted hammer must appear after a clear downtrend to have any reversal meaning. At a known support level the signal is strongest — the location filters out the many false inverted hammers that form mid-trend.

**8**

Shooting Star

BEARISH

Buyers rejected at the highs.

WHAT IT MEANS

Same shape as an inverted hammer — but at the top of an uptrend it's a bearish rejection.

HOW TO TRADE IT

After an uptrend, short on a bearish close below the shooting star's body; target the prior swing low. **Stop:** Above the shooting star's upper wick.

RELIABILITY & TIMEFRAME

High at resistance in an uptrend. • H4 • D1

PRO TIPS

- **Entry trigger:** Short on the close of the candle following the shooting star, once that candle closes below the shooting star's body. You are waiting for sellers to confirm the rejection that the long upper wick signalled.
- **Stop placement:** Place the stop above the tip of the shooting star's upper wick — the high that buyers briefly reached before being slammed back. A close above that wick negates the rejection and the short idea.
- **Best context:** The shooting star carries the most weight after a multi-session uptrend, right at a prior resistance or round number. A shooting star at a fresh all-time high is even more powerful — buyers pushed beyond history and failed.



9

Bullish Marubozu

BULLISH

Open at the low, close at the high — total control.

WHAT IT MEANS

A marubozu is a momentum signal, not a reversal — trade with it, and look to buy pullbacks toward its midpoint.

HOW TO TRADE IT

Trade with it — buy a shallow pullback toward the candle's midpoint, riding the momentum. **Stop:** Below the marubozu's low (its open).

RELIABILITY & TIMEFRAME

High for momentum continuation, not reversal. • H1 • H4

PRO TIPS

- **Entry trigger:** Do not chase the marubozu if it has already closed — the whole move is in that single candle. Instead, wait for a shallow pullback to the candle's midpoint and enter long there, with the trend and momentum behind you.
- **Stop placement:** Set the stop below the marubozu's low, which equals its open — the precise level where buyers took control. A close below the open means the no-wick conviction was a one-session anomaly, not true momentum.
- **Best context:** A bullish marubozu works best as a continuation signal when it fires in the direction of a higher-timeframe uptrend, often after a breakout from consolidation. As a reversal signal at the bottom of a downtrend, it carries less historical edge.

**10**

Bearish Marubozu

BEARISH

Open at the high, close at the low — total control.

WHAT IT MEANS

The mirror of the bullish marubozu — pure downside momentum, best traded in the direction of the candle.

HOW TO TRADE IT

Trade with it — short a small rally toward the candle's midpoint. **Stop:** Above the marubozu's high (its open).

RELIABILITY & TIMEFRAME

High for momentum continuation. • H1 • H4

PRO TIPS

- **Entry trigger:** Rather than shorting the already-closed marubozu, wait for a weak bounce toward the candle's midpoint — about halfway between its open (the high) and its close (the low) — then enter short as that bounce stalls.
- **Stop placement:** Place the stop above the bearish marubozu's open — its session high, which equals the high of the candle. A close above the open means buyers reclaimed the entire intraday range and the seller dominance narrative is broken.
- **Best context:** A bearish marubozu is most powerful as a continuation signal when it fires within an existing downtrend, especially after a breakdown through a key support. As a lone reversal at a top, require additional context before shorting.



11

Spinning Top

NEUTRAL

Both sides tried; neither won.

WHAT IT MEANS

On its own it's noise — but after a trend it's a flag to start watching for a reversal setup.

HOW TO TRADE IT

Don't trade it directly — use it as a warning. After a strong move, tighten stops and wait for the next 1–2 candles to confirm a turn. **Stop:** Beyond the wick opposite your eventual trade direction.

RELIABILITY & TIMEFRAME

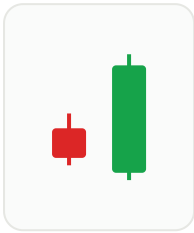
Low on its own; useful as a context flag. • Any timeframe

PRO TIPS

- **Entry trigger:** Never trade the spinning top itself — it is a pause signal, not a setup. Use it as a cue to tighten existing positions or watch for the next candle; if that candle breaks beyond the spinning top's range with conviction, trade the breakout.
- **Stop placement:** If you do enter on the next candle's breakout of the spinning top's range, set the stop on the opposite side of the spinning top's range. The small candle's full range — from its lower to upper wick — is your buffer zone.
- **Best context:** A spinning top carries its most useful information after an extended trend, where it indicates fading momentum. In a sideways range it is routine noise — both wicks equal means nothing when the market has been going nowhere anyway.

Two-candle patterns

A handover of control between buyers and sellers across two sessions.



12

Bullish Engulfing

BULLISH

One green candle swallows the prior red one.

WHAT IT MEANS

Size matters: the engulfing candle must wrap the previous body open-to-close to count.

HOW TO TRADE IT

Enter long on the close of the engulfing candle, or on a pullback to its midpoint next session. Target the prior swing high. **Stop:** Below the low of the engulfing candle.

RELIABILITY & TIMEFRAME

High — among the top-three reversal patterns. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long on the close of the engulfing candle itself — its close above the prior red body's open is the event that confirms buyer dominance. Alternatively, buy a pullback to the engulfing candle's midpoint in the next session.
- **Stop placement:** Put the stop below the low of the engulfing (green) candle. If price closes under the engulfing candle's low, buyers have completely lost the ground they took and the reversal argument is gone.
- **Best context:** A bullish engulfing at a tested horizontal support after a multi-candle downtrend is one of the most reliable setups in price action trading. The same pattern forming without a prior trend or level context is significantly weaker.

**13**

Bearish Engulfing

BEARISH

One red candle swallows the prior green one.

WHAT IT MEANS

A bearish engulfing at resistance after an uptrend is one of the most reliable reversal tells.

HOW TO TRADE IT

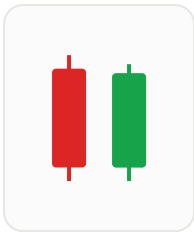
Short on the close of the engulfing candle, or a pullback to its midpoint. Target the prior swing low. **Stop:** Above the high of the engulfing candle.

RELIABILITY & TIMEFRAME

High at resistance after an uptrend. • H4 • D1

PRO TIPS

- **Entry trigger:** Short on the close of the engulfing (red) candle — its close below the prior green body's open is the moment sellers took full control. A pullback entry toward the engulfing candle's midpoint in the next session is the safer alternative.
- **Stop placement:** Place the stop above the high of the bearish engulfing candle. A close above that high means buyers have reclaimed even the engulfing candle's extreme and the reversal has failed.
- **Best context:** A bearish engulfing at a tested resistance level after an extended uptrend is among the most reliable short setups. A bearish engulfing after only two or three green candles, without a clear trend, carries far less weight.

**14**

Tweezer Bottom

BULLISH

The same low, defended twice.

WHAT IT MEANS

Two matched lows say the market tried to break down and couldn't. Location at known support is what gives it teeth.

HOW TO TRADE IT

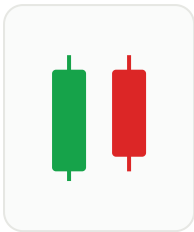
Buy on the candle after the tweezer that takes out the second candle's high; target the prior swing high. **Stop:** A few pips below the matched low.

RELIABILITY & TIMEFRAME

Medium; high at major support. • H1 • H4

PRO TIPS

- **Entry trigger:** Enter long on the candle that breaks above the second candle's high — not on the tweezer itself. The matching lows identify the support; the breakout above candle two's high confirms buyers are acting on it.
- **Stop placement:** Place the stop a few ticks below the matched low — the price level buyers defended twice in a row. A close below that identical low means the double defence failed and the downtrend continues.
- **Best context:** A tweezer bottom is most powerful when the matched low aligns with a higher-timeframe horizontal support, a round number, or a prior swing low. Two identical lows in open space, without an external reference, are far less reliable.

**15**

Tweezer Top

BEARISH

The same high, defended twice.

WHAT IT MEANS

Matched highs reveal a ceiling the market couldn't break. Best when it aligns with a higher-timeframe resistance.

HOW TO TRADE IT

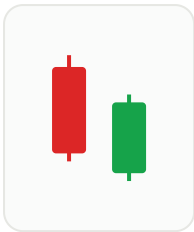
Short on the candle after the tweezer that breaks the second candle's low; target the prior swing low. **Stop:** A few pips above the matched high.

RELIABILITY & TIMEFRAME

Medium; high at major resistance. • H1 • H4

PRO TIPS

- **Entry trigger:** Enter short on the candle that breaks below the second tweezer candle's low — the matched highs define the resistance ceiling, and the breakdown below candle two's low is the signal sellers are acting on it.
- **Stop placement:** Set the stop a few ticks above the matched high — the price sellers defended twice. Any close above that level means the resistance has been broken and the tweezer top has failed.
- **Best context:** The tweezer top is most credible when the matched highs coincide with a prior resistance, an all-time high, or a round number that the market has respected before. Without an external level anchoring it, two matching wicks are just coincidence.

**16**

Piercing Line

BULLISH

A deep stab back into the prior red body.

WHAT IT MEANS

Like an engulfing that fell just short — the deeper the close pierces the prior body, the stronger the signal.

HOW TO TRADE IT

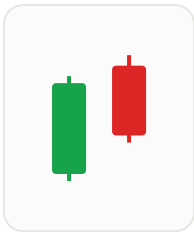
Enter long on a continuation candle that takes out candle-2's high. Deeper piercing into candle-1 = stronger. **Stop:** Below candle-2's low.

RELIABILITY & TIMEFRAME

Medium — a weaker cousin of the engulfing. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long on the next candle that closes above candle two's high — not on the piercing candle itself. The piercing line shows buyers are present, but the extra confirmation reduces the chance of a failed reversal.
- **Stop placement:** Place the stop below candle two's low — the open of the green candle, which is the lowest point it touched before surging. A close below that open means buyers lost the entire ground they recovered.
- **Best context:** A piercing line after a sustained downtrend at a horizontal support is the cleanest setup. When it forms at the midpoint of a range with no clear level beneath it, the pattern lacks the structural backing to sustain a reversal.

**17**

Dark Cloud Cover

BEARISH

A deep stab back into the prior green body.

WHAT IT MEANS

A near-engulfing at a top. The closer Candle 2 closes to the prior open, the more it behaves like a full bearish engulfing.

HOW TO TRADE IT

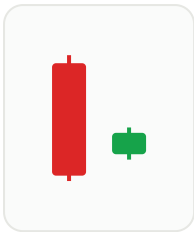
Short on a continuation candle that takes out candle-2's low. Deeper close into candle-1 = stronger. **Stop:** Above candle-2's high.

RELIABILITY & TIMEFRAME

Medium. • H4 • D1

PRO TIPS

- **Entry trigger:** Short on the next candle that closes below candle two's low — not on the dark cloud candle itself. The gap-up open and deep close identify where sellers live; the follow-through candle confirms they are pushing price lower.
- **Stop placement:** Set the stop above candle two's high — its opening price, which was the highest point before sellers took over. A close above that gap-up open means buyers have reclaimed the premium and the setup has failed.
- **Best context:** Dark cloud cover at a prior resistance or just below a round-number ceiling — where sellers were always likely to appear — carries genuine weight. The same pattern mid-trend without a price level above it is lower probability.

**18**

Bullish Harami

BULLISH

A small candle hides inside the prior big red.

WHAT IT MEANS

Harami means 'pregnant' — the big candle 'carries' the small one. It signals lost momentum, not yet a reversal; wait for proof.

HOW TO TRADE IT

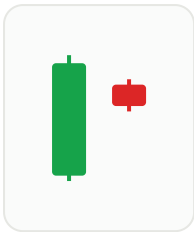
Wait for a bullish candle to break above the harami before entering long — the small inside candle is only a pause. **Stop:** Below the low of the first (large) candle.

RELIABILITY & TIMEFRAME

Medium — confirmation required. • H4 • D1

PRO TIPS

- **Entry trigger:** Do not enter on the small inside candle — a harami is a pause, not yet a reversal. Wait for the next candle to close above the small candle's high, breaking out of the containment zone, then enter long.
- **Stop placement:** Place the stop below the low of the large first (red) candle — not the small inside candle. That larger low is the true structural level; if price closes below it, the entire reversal argument is negated.
- **Best context:** A bullish harami at a known support after a sharp downtrend offers the best edge. The same pattern after only one or two red candles, without a clear trend preceding it, is too ambiguous to trade.

**19**

Bearish Harami

BEARISH

A small candle hides inside the prior big green.

WHAT IT MEANS

The mirror of the bullish harami — a pause inside a strong up-candle that warns the buyers are running out of room.

HOW TO TRADE IT

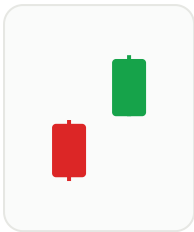
Wait for a bearish candle to break below the harami before shorting. **Stop:** Above the high of the first candle.

RELIABILITY & TIMEFRAME

Medium — confirmation required. • H4 • D1

PRO TIPS

- **Entry trigger:** Wait for the candle after the small inside candle to close below the inside candle's low — that bearish break confirms selling is resuming after the pause. Enter short on that close or the open of the following bar.
- **Stop placement:** Set the stop above the high of the large first (green) candle — the highest point of the prior bullish conviction. A close above that level means buyers have reclaimed the full rally candle and the harami read is wrong.
- **Best context:** A bearish harami at a tested resistance — especially after a rapid, near-vertical rally — is the highest-quality setup. In a slow drift higher with no resistance visible above, the harami is only a minor caution flag, not an actionable short.

**20**

Bullish Kicker

BULLISH

A violent gap-up flip — one of the strongest signals.

WHAT IT MEANS

The gap that doesn't overlap is everything — it shows the market repriced instantly. Kickers rarely retrace, so chasing is the risk.

HOW TO TRADE IT

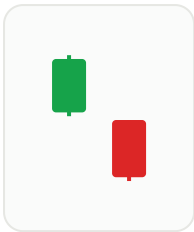
Strongest on the gap. Conservative traders buy the first shallow pullback after the kicker; aggressive traders enter on the close of the gap candle. **Stop:** Inside the gap, or below the kicker candle's low.

RELIABILITY & TIMEFRAME

Very high — among the most powerful reversals. • H4 • D1

PRO TIPS

- **Entry trigger:** Aggressive entry: buy on the close of the gap-up candle the moment it closes bullishly above the prior candle's open. Conservative entry: buy the first shallow pullback after the kicker, if the gap holds as support.
- **Stop placement:** Set the stop inside the gap — specifically below the kicker candle's open. If price closes back inside the gap, the sentiment flip is reversing and the kicker has failed. Never set the stop at the prior red candle's close, which is already deep inside the gap.
- **Best context:** Kickers are most often driven by surprise earnings, policy decisions, or major news events. They appear regardless of prior trend, but carry the most follow-through when they fire against the prevailing trend — a true sentiment reversal rather than just acceleration.

**21**

Bearish Kicker

BEARISH

A violent gap-down flip — the mirror of the kicker.

WHAT IT MEANS

A non-overlapping gap against the trend plus a strong body is the signature — among the most reliable reversals, but it gives no easy pullback entry.

HOW TO TRADE IT

Short the first weak bounce after the kicker, or on the close of the gap candle. **Stop:** Inside the gap, or above the kicker candle's high.

RELIABILITY & TIMEFRAME

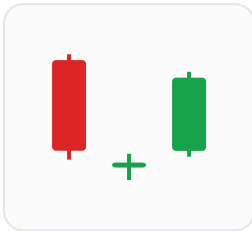
Very high. • H4 • D1

PRO TIPS

- **Entry trigger:** Aggressive entry: short on the close of the gap-down candle if it closes bearishly below the prior bullish candle's open. Conservative entry: short the first weak bounce after the kicker, using the gap as resistance.
- **Stop placement:** Place the stop inside the gap — above the kicker candle's open (the high of the bearish gap candle). A close back inside the gap signals the down-gap is being filled and the sentiment reversal is failing.
- **Best context:** Bearish kickers most often follow unexpected negative news — earnings misses, rate decisions, or geopolitical shocks. The pattern is context-agnostic by nature (it creates its own context), but confirmation of a downtrend setting in follows most reliably on higher timeframes like H4 and D1.

Three-candle patterns

A complete narrative: dominance, the turn, and the confirmation.



22 Morning Star BULLISH

Capitulation → indecision → strong buying.

WHAT IT MEANS

The middle star is the hinge: it shows selling pressure drying up before buyers commit.

HOW TO TRADE IT

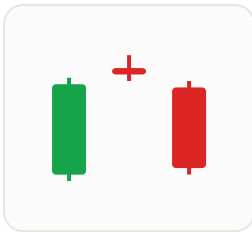
Enter long on the close of the third candle, or a pullback to its midpoint. Target the prior swing high or the start of the down-move. **Stop:** Below the low of the star (the middle candle).

RELIABILITY & TIMEFRAME

High — among the most reliable reversals. • H4 • D1 • W1

PRO TIPS

- **Entry trigger:** Enter long on the close of the third (large green) candle — the confirmation is built into the three-candle structure. A more conservative approach is to wait for a pullback to the midpoint of the third candle's body before entering.
- **Stop placement:** Place the stop below the low of the middle star candle — that is the lowest price the pattern reached and the level buyers were defending. A close under the star's low says the panic low has been revisited and the reversal is failing.
- **Best context:** A morning star forming at a multi-year support, a major Fibonacci level, or the lower band of a long-term range carries the strongest historical edge. Morning stars that form in open space, without a prior support beneath them, resolve lower far more often.

**23**

Evening Star

BEARISH

Euphoria → stall → sellers take over.

WHAT IT MEANS

A small-bodied star after a strong rally is the warning; the third red candle is the confirmation.

HOW TO TRADE IT

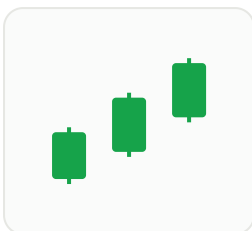
Short on the close of the third candle, or a pullback to its midpoint. Target the prior swing low. **Stop:** Above the high of the star.

RELIABILITY & TIMEFRAME

High. • H4 • D1 • W1

PRO TIPS

- **Entry trigger:** Short on the close of the third (large red) candle — the three-candle sequence itself provides the confirmation. Alternatively, short a bounce to the midpoint of the third candle's body in the following session.
- **Stop placement:** Place the stop above the high of the middle star candle — the highest point the pattern reached. A close above the star's high invalidates the bearish reversal narrative; buyers have pushed past the exhaustion point.
- **Best context:** An evening star at an all-time high, a tested multi-year resistance, or a major round number is the premium setup. The same three-candle structure in the middle of a trend with no visible resistance above it is a much weaker sell signal.



24 Three White Soldiers BULLISH

Three strong greens, marching up.

WHAT IT MEANS

A momentum pattern disguised as a reversal. Strength is the signal; over-extension is the risk.

HOW TO TRADE IT

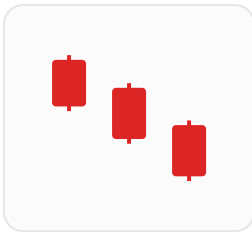
Don't chase — after three strong greens price is extended. Buy the first shallow pullback in the new uptrend. **Stop:** Below the open of the first soldier, or the recent swing low.

RELIABILITY & TIMEFRAME

High; warning: do not chase. • H4 • D1

PRO TIPS

- **Entry trigger:** Do not buy the close of the third soldier — price is already extended three sessions in. Instead, wait for the first shallow pullback (a small red candle or a pause) within the new uptrend and enter long on the resumption candle.
- **Stop placement:** Once you enter on a pullback, set the stop below the pullback low. If you entered immediately at pattern completion, the stop goes below the open of the first soldier — but that stop will often be very wide, wrecking your reward-to-risk.
- **Best context:** Three white soldiers at the end of a prolonged downtrend, firing from a major support, signal a durable trend reversal. Three strong greens after just a minor dip, at no particular level, often resolve as an overextended continuation that exhausts and reverses.

**25**

Three Black Crows

BEARISH

Three strong reds, marching down.

WHAT IT MEANS

The mirror of three white soldiers. Powerful, but by the third candle the easy move is already gone.

HOW TO TRADE IT

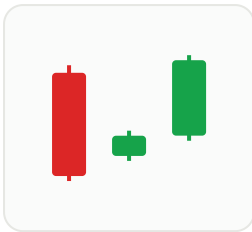
Wait for a retracement before shorting — price is extended after three reds. **Stop:** Above the open of the first crow.

RELIABILITY & TIMEFRAME

High; do not chase. • H4 • D1

PRO TIPS

- **Entry trigger:** Avoid shorting the third crow's close — three long red candles means price has already moved significantly. Wait for the first technical bounce (a small green candle or inside bar) and enter short as that bounce stalls, using the high of the bounce as your entry trigger.
- **Stop placement:** If shorting a bounce retracement, the stop goes above the bounce high. If you entered on the pattern directly, the stop belongs above the open of the first crow — that entire range is your risk, and it is typically too wide for a good risk-reward ratio.
- **Best context:** Three black crows at the top of an extended uptrend, at or just below a major resistance, carry the strongest bearish reversal signal. Three consecutive red candles in the middle of a sideways range are far more likely to reverse than to kick off a trend.

**26**

Three Inside Up

BULLISH

A bullish harami — with proof.

WHAT IT MEANS

Essentially 'harami with proof' — the confirmation candle is built into the pattern, which is why it's more reliable than the harami alone.

HOW TO TRADE IT

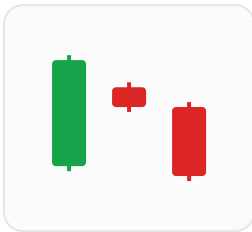
Enter long on the close of the third candle — the confirmation is built in. **Stop:** Below the low of the first (long red) candle.

RELIABILITY & TIMEFRAME

High. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long on the close of the third candle — the green close above candle one's high is the confirmation that is literally built into this three-candle pattern. The entry is clean because the pattern itself supplies the proof.
- **Stop placement:** Place the stop below the low of the first (large red) candle — the structural low of the pattern. A close below that level means the downtrend has reclaimed ground below even the starting candle, negating the reversal entirely.
- **Best context:** Three inside up is most reliable when it develops at a prior support level after a clear downtrend. The pattern that forms at a support zone gives buyers two structural reasons to step in: the price level and the candlestick confirmation.

**27**

Three Inside Down

BEARISH

A bearish harami — with proof.

WHAT IT MEANS

The bearish twin of three inside up — the confirming third candle is what separates it from a plain harami.

HOW TO TRADE IT

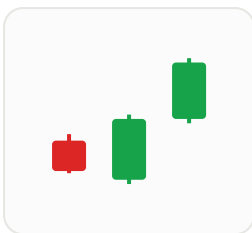
Short on the close of the third candle. **Stop:** Above the high of the first (long green) candle.

RELIABILITY & TIMEFRAME

High. • H4 • D1

PRO TIPS

- **Entry trigger:** Short on the close of the third candle — the red close below candle one's low is the confirmation baked into the pattern. You do not need an extra confirmation candle because the third candle is already the confirmation.
- **Stop placement:** Set the stop above the high of the first (large green) candle — the structural peak. A close above that high means buyers have reclaimed everything including the prior rally candle, and the reversal narrative is void.
- **Best context:** Three inside down carries maximum weight when it forms at a tested resistance or a prior swing high after an uptrend. A three-inside-down that forms without a resistance level above it has a lower probability of resolving into a sustained downtrend.

**28**

Three Outside Up

BULLISH

A bullish engulfing — confirmed by a third candle.

WHAT IT MEANS

Think of it as a bullish engulfing with built-in proof — the extra candle is why it's more reliable than the engulfing alone.

HOW TO TRADE IT

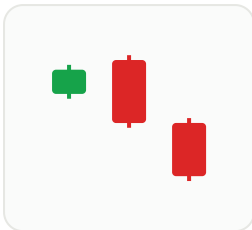
Enter long on the close of the third candle, which closes above the engulfing candle's high. **Stop:** Below the low of the engulfing candle.

RELIABILITY & TIMEFRAME

High — engulfing with confirmation. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long on the close of the third candle — its close above the engulfing candle's high is the confirmation. Unlike a bare bullish engulfing, this pattern has the third proof-candle built in, so no external confirmation candle is needed.
- **Stop placement:** Place the stop below the low of the second (engulfing) green candle. That is the level where buyers overwhelmed sellers; a close below it means the engulfing move has been undone and the reversal has failed.
- **Best context:** Three outside up is strongest when the initial small red candle and the engulfing candle both fire at a recognisable support level at the end of a downtrend. The additional confirmed close higher makes it one of the cleaner bottom-picking setups available.

**29**

Three Outside Down

BEARISH

A bearish engulfing — confirmed by a third candle.

WHAT IT MEANS

The bearish twin of three outside up — a bearish engulfing with a confirming candle baked in.

HOW TO TRADE IT

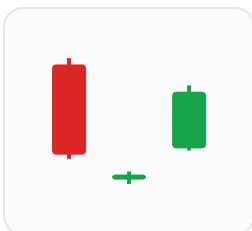
Short on the close of the third candle, below the engulfing candle's low. **Stop:** Above the high of the engulfing candle.

RELIABILITY & TIMEFRAME

High. • H4 • D1

PRO TIPS

- **Entry trigger:** Short on the close of the third candle — its close below the engulfing candle's low is confirmation that sellers are accelerating, not just pausing. The three-candle structure is self-confirming; no additional candle is required.
- **Stop placement:** Place the stop above the high of the second (bearish engulfing) candle. If price closes back above the engulfing candle's high, buyers have reclaimed the entire engulfing session and the reversal is over.
- **Best context:** Three outside down at a tested resistance after an extended uptrend is the premier short setup for this pattern. The initial small green candle and engulfing red candle gain credibility when they fire exactly at a level where sellers were previously active.

**30**

Abandoned Baby

BULLISH

A doji isolated by gaps on both sides.

WHAT IT MEANS

Rare in 24-hour forex (which seldom gaps) — most often seen on gold around the weekly open or major news. When it appears, it's exceptionally reliable.

HOW TO TRADE IT

Rare but powerful — enter on the close of the third (gapped) candle. Most common on gold around the weekly open or major news. **Stop:** Below the low of the doji (bullish) / above its high (bearish).

RELIABILITY & TIMEFRAME

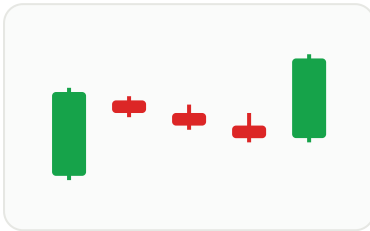
Very high when it occurs — but rare. • D1 • W1

PRO TIPS

- **Entry trigger:** Enter long on the close of the third (large green gap-up) candle. The gap on both sides of the doji makes this a self-confirming signal — you do not need an additional candle, but you should ensure the gap above the doji's high holds on the open.
- **Stop placement:** Place the stop below the doji's low — the isolated star that sits at the gap. A close back below the doji's low would mean price has re-entered the gap zone and the sharp sentiment flip is reversing.
- **Best context:** This pattern is rare in continuous markets and most common around session opens where gaps can form — gold around the weekly open, equities at the daily open, or any instrument around a major news event. When it fires at a long-term support, the reversal tends to be durable.

Continuation patterns

Healthy pauses inside a trend — the market catching its breath.



31

Rising Three Methods

BULLISH

A pause inside an uptrend, then resumption.

WHAT IT MEANS

The middle candles are a healthy pause, not a reversal. The whole pattern fails only if price closes below the first candle's low.

HOW TO TRADE IT

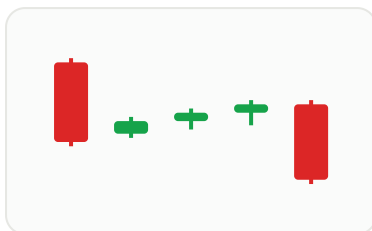
Buy the breakout — enter on the final long candle that closes above the first candle's high, riding the resumed uptrend. **Stop:** Below the low of the first long bullish candle.

RELIABILITY & TIMEFRAME

High in established uptrends. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long on the close of the fifth candle — the large green candle that breaks above the first candle's high. That breakout close is the direct entry signal; the prior pullback candles have already shown bears could not break the trend.
- **Stop placement:** Set the stop below the low of the first large bullish candle — not below the small pullback candles. A close below the first candle's low means sellers broke outside the entire pattern's range and the uptrend structure is broken.
- **Best context:** Rising three methods works best when the initial large green candle appears within a clear uptrend and the three pullback candles show declining volume. The pattern is a continuation, not a reversal — the stronger the prior uptrend, the higher the follow-through probability.



32 Falling Three Methods

BEARISH

A pause inside a downtrend, then resumption.

WHAT IT MEANS

Mirror of rising three methods. The contained pullback shows the trend is resting, not reversing.

HOW TO TRADE IT

Sell the breakdown — enter on the final long candle closing below the first candle's low.

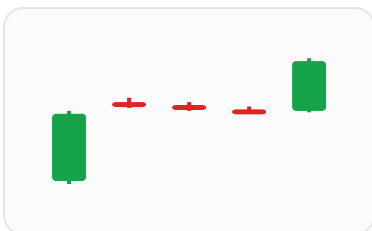
Stop: Above the high of the first long bearish candle.

RELIABILITY & TIMEFRAME

High in established downtrends. • H4 • D1

PRO TIPS

- **Entry trigger:** Short on the close of the fifth candle — the large bearish candle breaking below the first candle's low. That breakdown close is the continuation trigger and means the counter-trend bounce has been fully absorbed by sellers.
- **Stop placement:** Place the stop above the high of the first large bearish candle — the structural high of the whole pattern. A close above that level means buyers broke out of the pattern's range and the downtrend is now being seriously challenged.
- **Best context:** Falling three methods is a continuation pattern and only works in the context of an established downtrend. A three-candle bounce followed by a new low in the middle of a sideways range is not the same setup and carries far less directional edge.

**33**

Mat Hold

BULLISH

Rising three methods — with a defended gap.

WHAT IT MEANS

Often considered more reliable than rising three methods — the unfilled gap is the tell that buyers never gave ground.

HOW TO TRADE IT

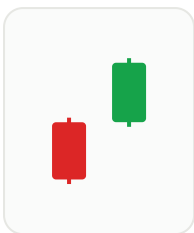
Buy the resumption candle that takes out the first candle's high. The unfilled gap during the pause is your conviction signal. **Stop:** Below the low of the first long bullish candle.

RELIABILITY & TIMEFRAME

High — often stronger than rising three methods. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter long on the close of the resumption candle — the large bullish candle that breaks above the first candle's high. The defended gap during the pullback tells you buyers never surrendered ground, so the breakout has strong backing.
- **Stop placement:** Set the stop below the low of the first large bullish candle. Unlike rising three methods where the gap does not exist, the mat hold's gap zone acts as an additional support — a close below the first candle's low means the gap was filled and the bull structure is damaged.
- **Best context:** Mat hold is a continuation pattern, so the underlying uptrend must be established before it forms. It is most reliable on H4 and D1 where gaps between sessions are real (equity opens) or where the overnight sentiment shift is meaningful (gold, indices).



34 Separating Lines BULLISH

A counter-trend candle, immediately undone.

WHAT IT MEANS

The matching opens are the signature — the trend side reclaims control instantly, confirming continuation.

HOW TO TRADE IT

Enter with the trend when the second candle opens at the prior candle's open and closes strongly in the trend direction. **Stop:** Beyond the second candle's far extreme.

RELIABILITY & TIMEFRAME

Medium — a continuation signal. • H4 • D1

PRO TIPS

- **Entry trigger:** Enter in the trend direction on the close of the second candle — the one that opens at the prior counter-trend candle's open and closes strongly back in the trend direction. The matching open is the trigger; the strong trend-aligned close is the entry.
- **Stop placement:** For a bullish separating lines, the stop goes below the second candle's low. If the second candle drives in the trend direction, a close below its low means the reclaim of trend failed quickly and the counter-trend candle's sellers are winning.
- **Best context:** Separating lines is purely a continuation pattern — it only makes sense within an existing, healthy trend. Use it to add to a winning trend trade at a natural pullback point, not as an entry into a new trade from a flat position.